1.87 per cent and 2.16 per cent, respectively. On average, RBI earns a gross income of about 2.5 per cent on its assets.

In 2018–19, RBI earned Rs 61,022 crore of interest on its domestic investments and Rs 45,815 crore of interest income on its foreign investments. In addition, it received profits of Rs 28,998 crore by selling foreign securities. RBI's domestic investments were Rs 9.9 lakh crore and foreign investments Rs 27.9 lakh crore. The amounts of interest earned on domestic and foreign assets and the size of such assets in 2019–20 were Rs 60,957 crore and Rs 48,376 crore and Rs 11.72 lakh crore and Rs 35.45 lakh crore, respectively.

The interest earned on domestic assets amounted to 6.16 per cent and 5.20 per cent in 2018–19 and 2019–20, respectively. The interest earned on foreign assets amounted to 1.64 per cent and 1.36 per cent for these two years respectively.

RBI's low returns on its investment portfolio are largely explained by foreign securities constituting the bulk of its investment portfolio and these securities earning small returns.

It chose to invest about 75 per cent of its investible funds in foreign securities (it was 74 per cent in 2018–19 and 75 per cent in 2019–20). The 75 per cent investments yielded only 1.5 per cent returns in the two years together. International investment returns were trending much lower in 2020–21. RBI may end up getting only about 1 per cent returns on its foreign investments.

The interest earned on foreign securities is only about 25–30 per cent of the interest earned on domestic assets. The foreign assets portfolio pulls down RBI's overall earning, although its earnings from domestic assets was also lower than the interest earned by other financial players, including public-sector players like NPS and EPFO.